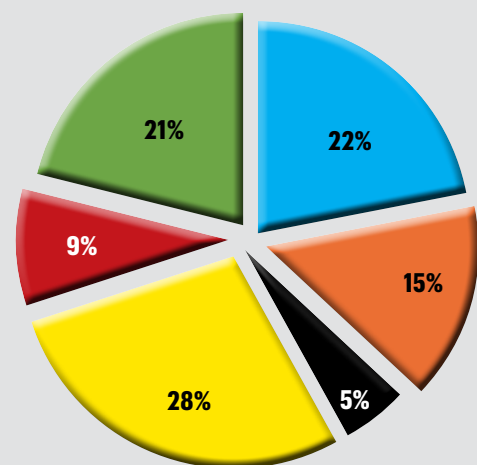


THE BUSINESS MODEL RISK

...A good retail-corporate mix of 58:42, but high concentration in a few areas



● NON-VEHICLE RETAIL ● LARGE CORPORATE
● MID-SIZED CORPORATE ● SMALL CORPORATE
● VEHICLE FINANCING ● MICRO FINANCE

SOURCE DATA IN % (FY25)

KEY CHALLENGES

- » Despite three decades of operations, the bank's CASA ratio hovers around 34%
- » Tough competition in the deposit market; new deposits are being sourced at a higher cost
- » Failure to build a mortgage business, which, while low-yielding, offers stability
- » No succession plan in place for senior-level exits; stability of the senior management team is a concern
- » Lower market valuation, leading to significant future equity dilution
- » Possible increase in provisioning requirements, creating pressure on profits and capital
- » Likely penalties by RBI for non-compliance and regulatory violations

now acts as a vehicle for expansion in rural and semi urban areas. "The approach of disbursements is towards customers with long vintage and better past payment records," stated the bank in what investors call a post-Kathpalia update. "Once the leadership is established, the board and the management will take a relook at the bank's strategy — which segments we want to push and where we want to stay a little more cautious," said the company in an investor call. (See *Key Challenges*)

Mehta has said the bank has decided to be cautious on the microfinance segment. "The diversification into merchant advances continues. However, if you are expecting us to push the pedal or change the disbursement approach towards reducing what it is supposed to be, I don't think so," he told analysts.

The bank has a higher cost of deposits and cost of funds than its larger peers like ICICI Bank, HDFC Bank, and Axis Bank. The business model had tilted towards relatively high-risk, high-yield assets, with net interest margins (NIMs) of 4.10–4.30, much higher than its peer group. The high cost of funds and high-margin business works well if the risk is contained. In IndusInd Bank's case, the fault lines are clearly visible. The bank's CASA (Current Account and Savings Account) ratio of 35% is too low to scale up secured retail products like mortgages and passenger car loans due to tough competition.

CRISIL recently noted that the bank's reliance on bulk deposits remains high with the top 25 depositors accounting for 16.23% of total deposits as on March 31, highlighting its dependence on a few large, and potentially volatile deposit sources. The bank needs to focus on liability mobilisation, especially increasing its CASA share.

While the current disclosure and accounting laxity could significantly impact the bank's credibility and investor trust, the bank will have to pay more to attract retail deposits, say analysts. "We continue to scale our existing liabilities initiatives of Affluent and NRI Banking," says the bank. Mehta has hinted that the bank would like to follow the 'One Bank' approach. Under this, all business units are expected to contribute to liability sourcing. ICICI Bank has implemented this model successfully by encouraging all employees to sell the full range of products, regardless of specialisation or domain.

LONG ROAD AHEAD

Nuvama Research notes that while most banks take three to four years to stabilise after accounting issues, IndusInd Bank may recover sooner, but its return on asset (RoA) is likely to stay below 1% through FY27. Other private banks like HDFC Bank and ICICI Bank have RoAs of more